

retail and digital (telecom) businesses to fund its other ventures and/or to bring down debt,” explains Jasani.

Those close to Reliance’s business model say the company’s energy business initiatives help it manage volatility better. “They understand manufacturing well, and it is in their DNA. One of the big strengths is chemistry, which is what they are playing to in the

Reliance’s recent entry into financial services, an extremely competitive space, is being watched closely. Can Reliance disrupt the segment the way it did in telecom? “While they can do that, it may be difficult to dominate unless Reliance can get a banking licence and make large acquisitions of growing tech-enabled companies or banks,” he says. To Jasani, telecom will need a lot of capex

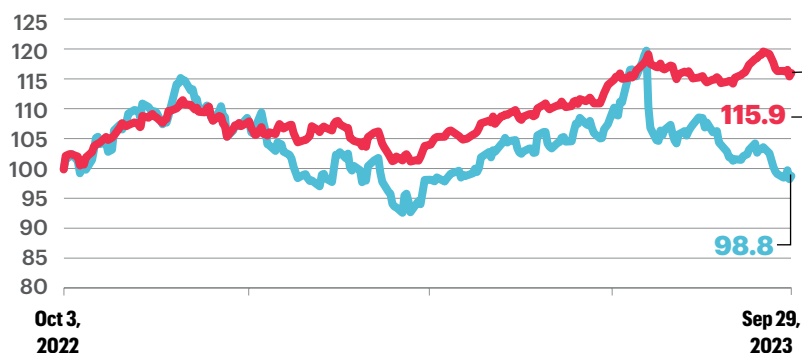
Although Reliance gets the biggest chunk of its revenues from O2C, in its FY23 annual report the company flaunts retail and digital, followed by media & entertainment. It puts O2C in fourth place, followed by oil & gas exploration. Reliance is India’s largest retailer and digital services player.

The average consumer is not moved by Reliance’s Jamnagar complex being the largest oil re-

PEAKS AND TROUGHS

➤ The RIL stock has been a steady performer, generating healthy returns for its shareholders

➤ Listing of retail and digital businesses is being anticipated



● RELIANCE INDUSTRIES ● BSE SENSEX

DATA HAS BEEN INDEXED TO 100 SOURCE ACE EQUITY



“It (AirFiber) is similar to the early phase of DTH... Here, Jio can use its 5G infrastructure to grow the business”

ALIASGAR SHAKIR
TELECOM, MEDIA & RETAIL
ANALYST (INSTITUTIONAL
EQUITIES), MOFSL

new energy business.”

The scale has been a clear strategic advantage for Reliance at many levels. Jasani points out how the company can raise debt “at fine rates and has enough forex exposure; hence, it remains the first choice to fund new projects”.

The lender’s comfort is the cash flow that Reliance’s existing businesses generate to service the debt.

and regulatory support, while retail is about striking the right balance between offline and online models.

At the 2023 AGM meeting, Ambani and his team used the word “digital” 61 times. “India has the scale. India has the data. India has the talent. But we also need digital infrastructure in India that can handle AI’s immense computational demands,” he said.

finery on earth, way ahead of those in countries such as Saudi Arabia that sit on the largest petroleum reserves.

Shareholder-friendly Reliance, which created the equity cult in India in 1977, knows it gets the biggest mileage from its customer-facing businesses. And what better magnets than retail and digital? **BT**

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